



KCB

Making the
Difference

KCB INVESTOR PRESENTATION FULL YEAR 2015 GROUP FINANCIAL RESULTS

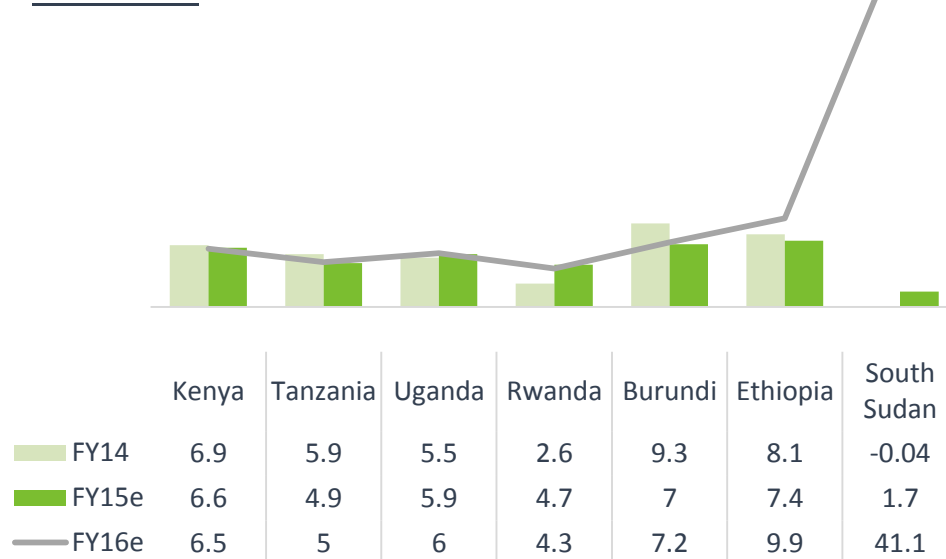
MARCH 2, 2016

Operating economic environment 2015

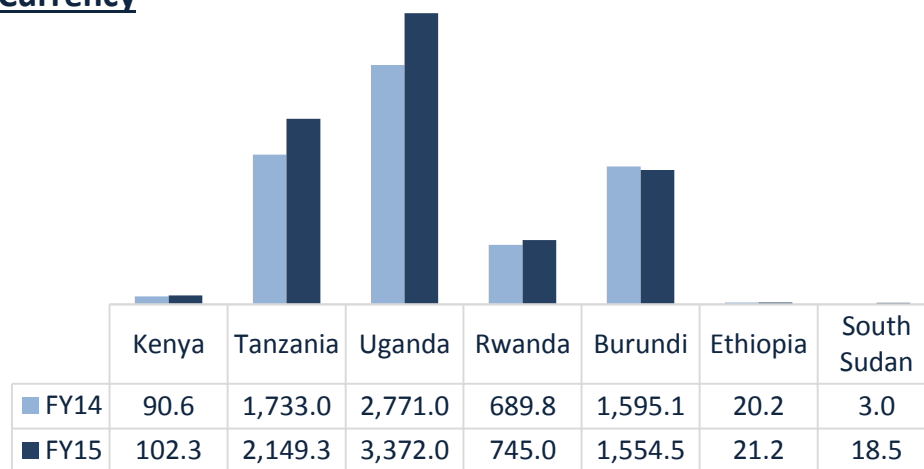
	FY12	FY13	FY14	FY15
GDP KShs B	4,261	4,730	5,357	6,215
Real GDP %	4.6	5.7	5.3	5.8*
Current account Balance/GDP	-8.4	-8.9	-10.4	-9.6
Public Debt/GDP %	52.5	53.5	46.3	48.6
Budget Deficit/GDP %	-5.5	-5.3	-5.5	-8.2
CBR %	11.0	8.5	8.5	11.5
KBRR %	-	-	9.1	9.9
Interbank Rate %	13.8	8.4	7.9	11.1

Source: Bloomberg
*estimate

Inflation %

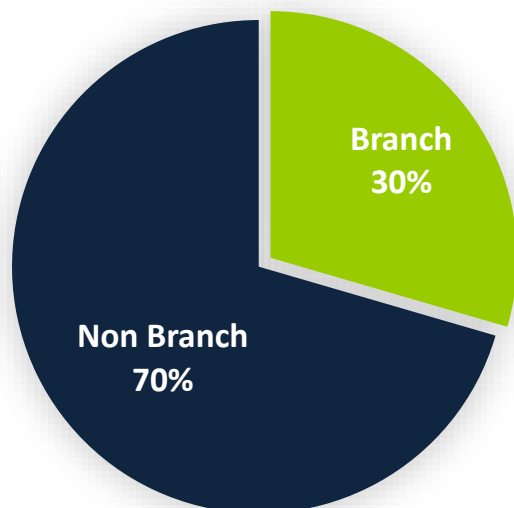


Currency

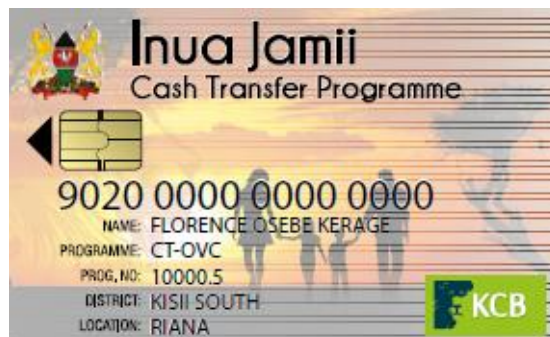


Driving NFI through Non Branch Channels

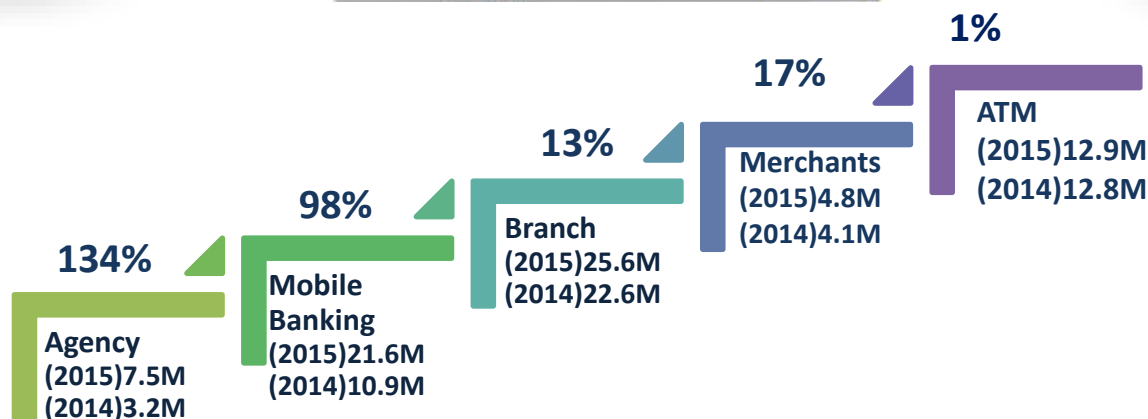
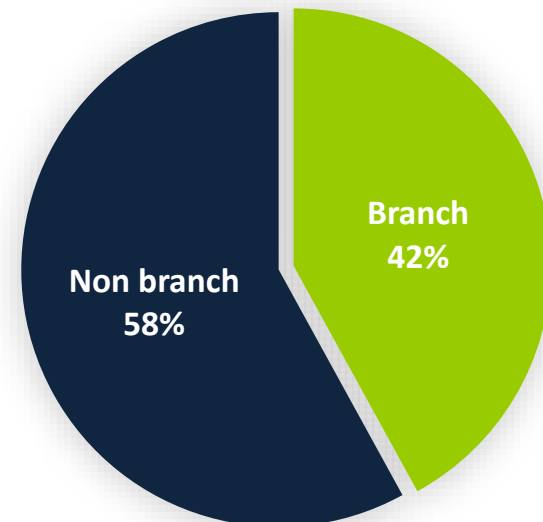
FY15 Transactions



- KShs. 31B in agency transactions in 2015 (KShs 14 B in 2014)
- KShs 8.08 billion disbursed through Inua Jamii Programme



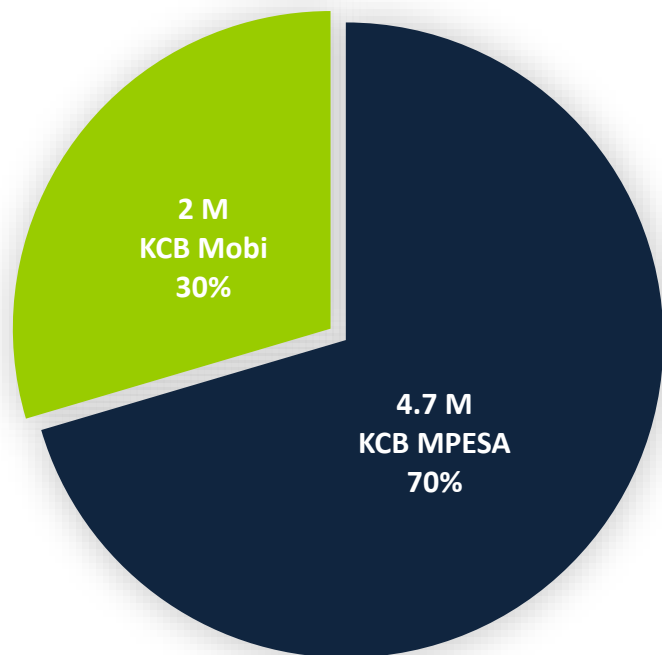
FY14 Transactions



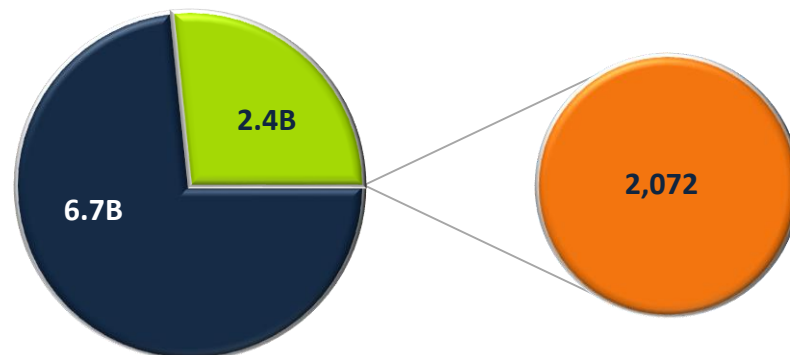
Delivering through Mobile Technology

Loans of KShs 9.1B (\$90M) disbursed on mobile

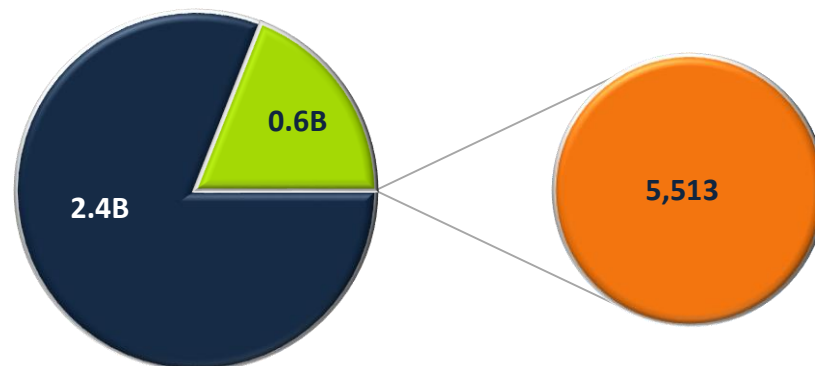
Number of Mobile Customers



KCB Mpesa (KShs)



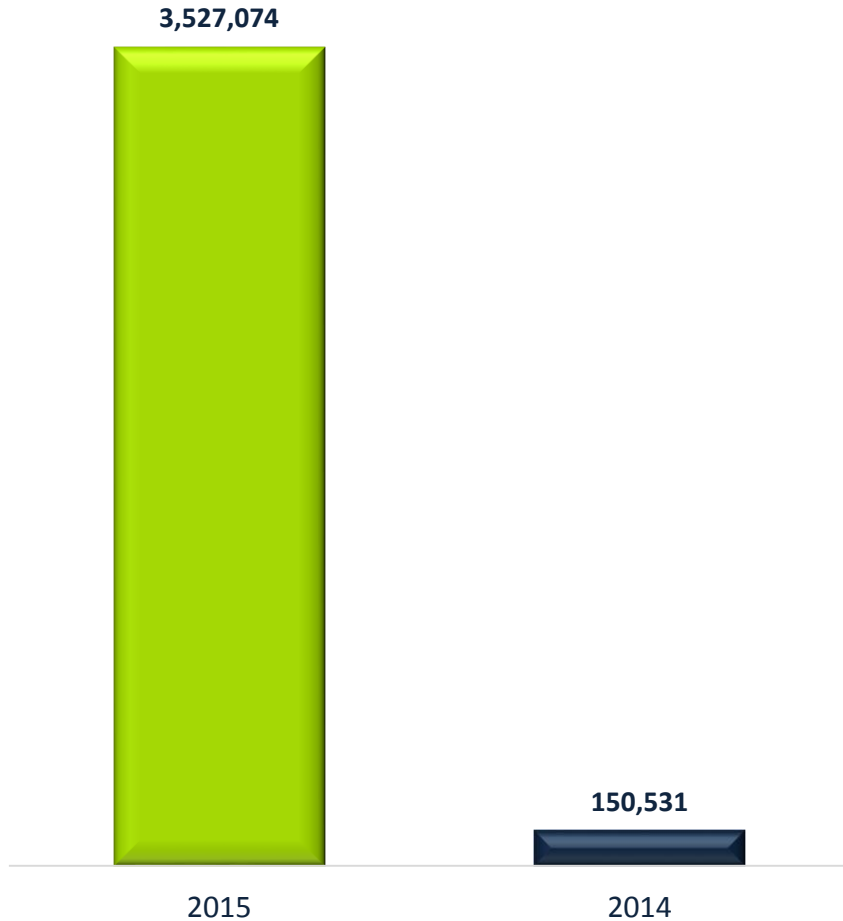
KCB Mobi (KShs)



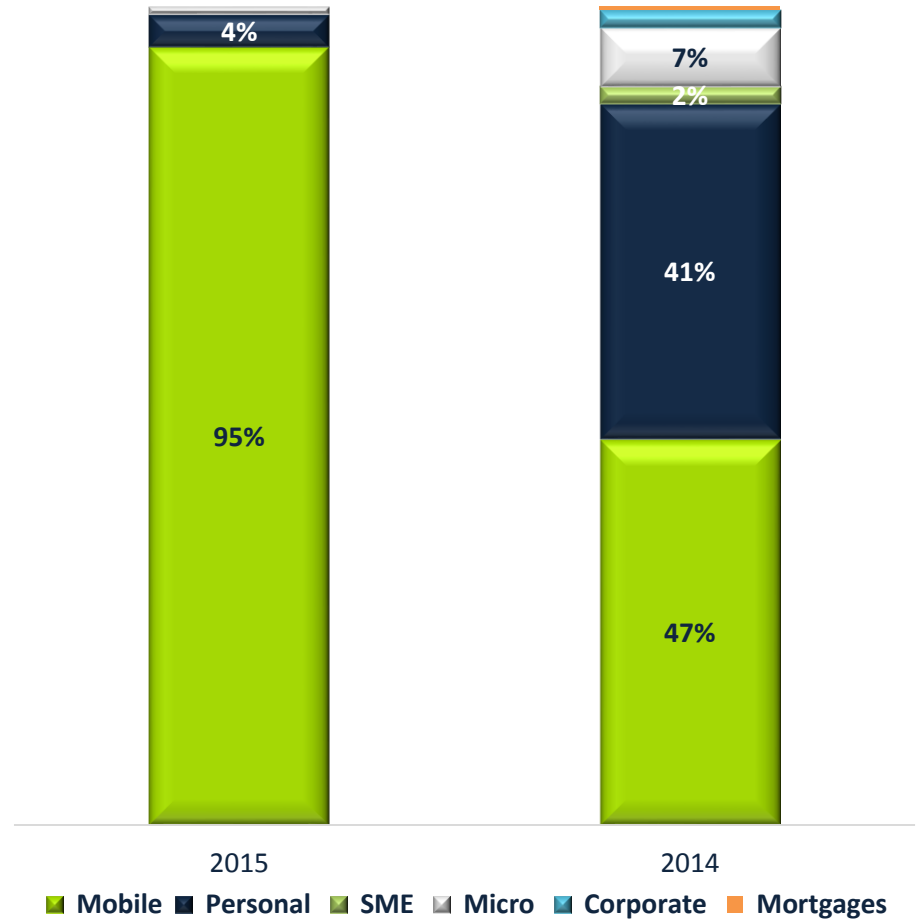
■ Disbursed Loans ■ Outstanding Loans ■ Average Loans

Loan Applications Accelerated by the Mobile

Mobile Loan Applications



Total Loan Applications



2015 Achievements

New business and Product Roll out – KCB Mpesa, KCB Sahal, KCB Insurance, KCB Capital

International Credit Rating at par with the Sovereign Rating

Surpassing 10 million customer mark across the KCB Group Limited

Set up of the Group Holding Company and the KCB Bank Kenya Business

Entry into Ethiopia via Representative Office

Working with County Governments on revenue collection and Mifugo ni mali

Launch of the new KCB Brand, Purpose and Values



MOODY'S



KCB | Sahl Banking

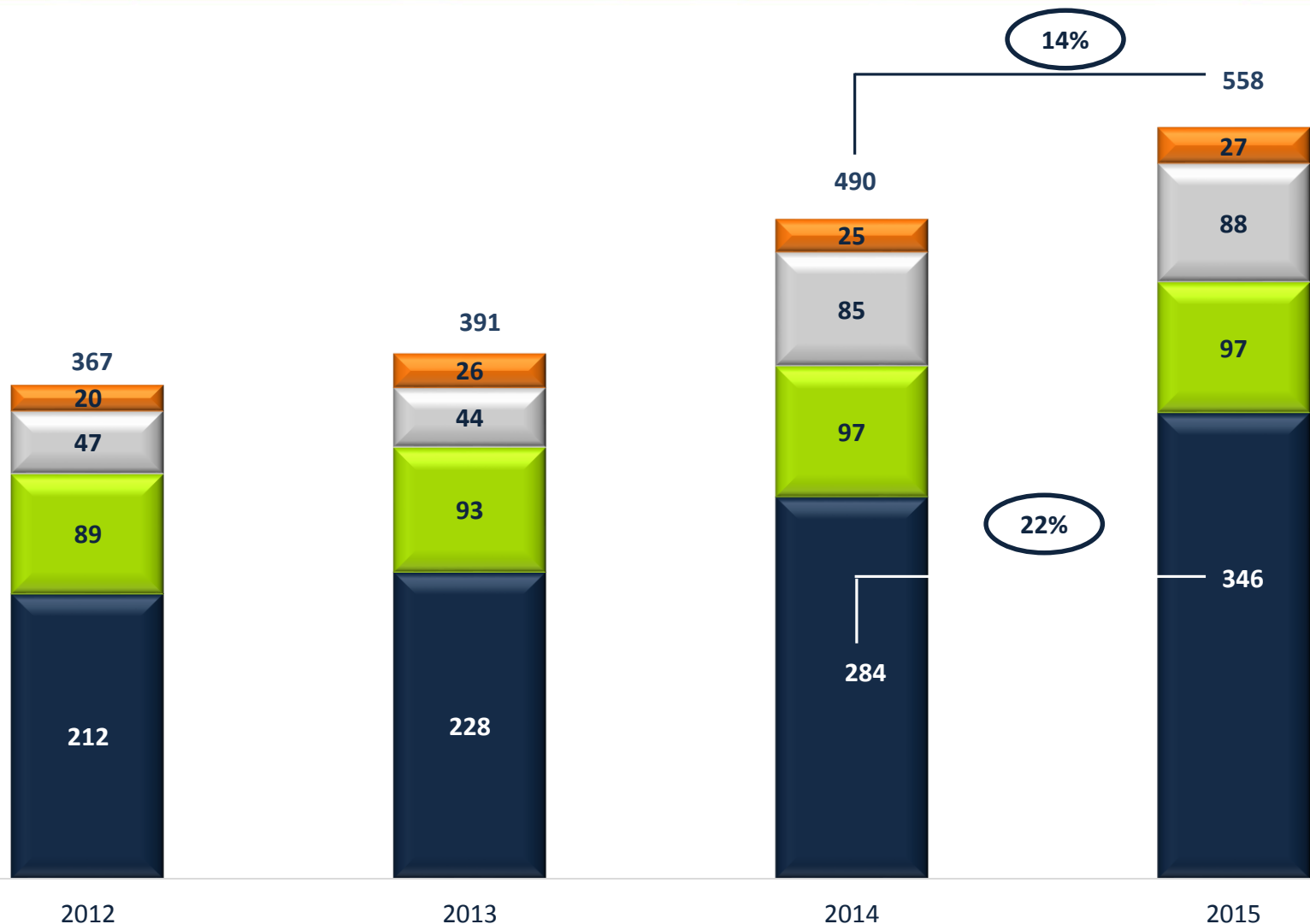


**Simplifying your world to
enable your progress**

OUR PERFORMANCE TO DATE

Strong asset book driven by growth in advances

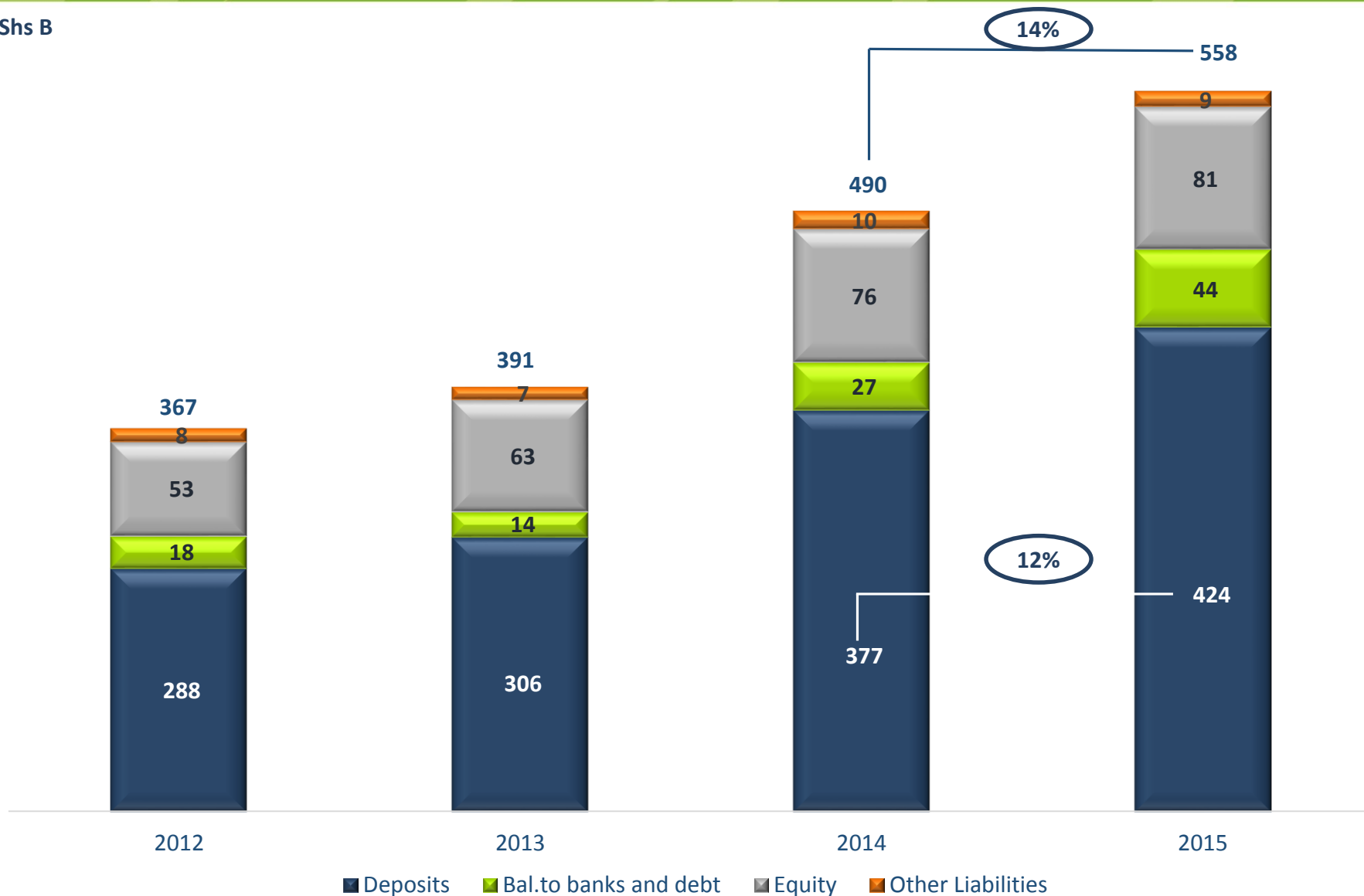
KShs B



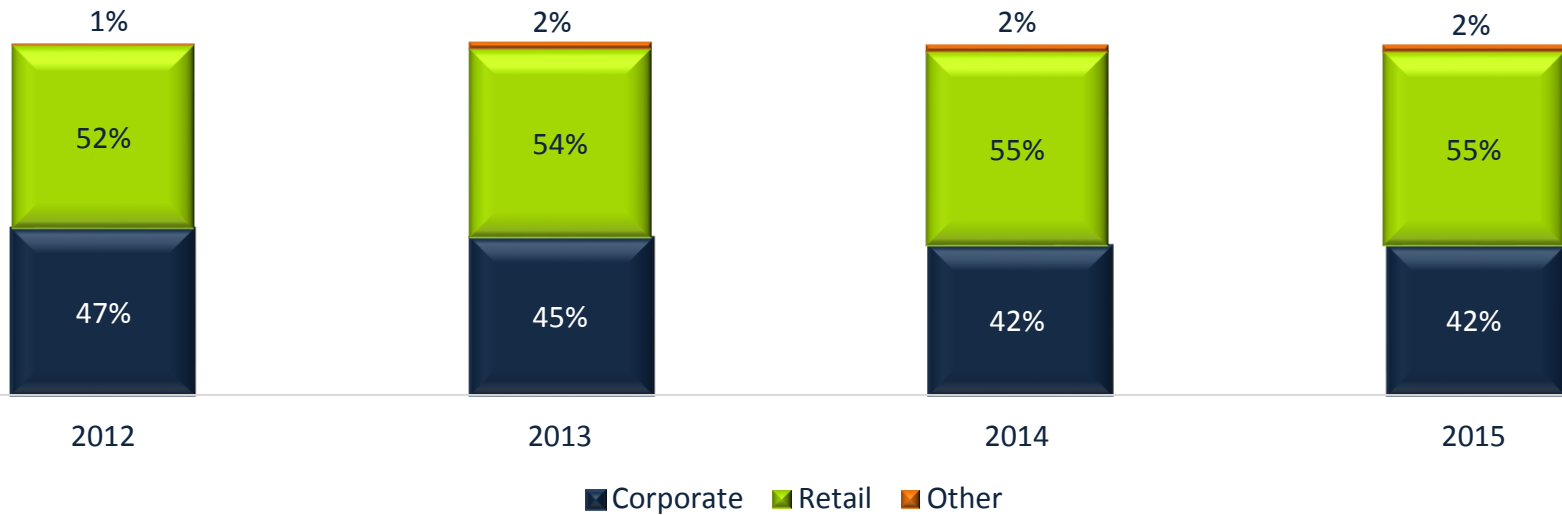
■ Net loans and advances ■ Investments in Government securities ■ Cash and Balances with Central Banks and other Financial Institutions ■ Other Assets

Strong funding base driven by growth in Deposits

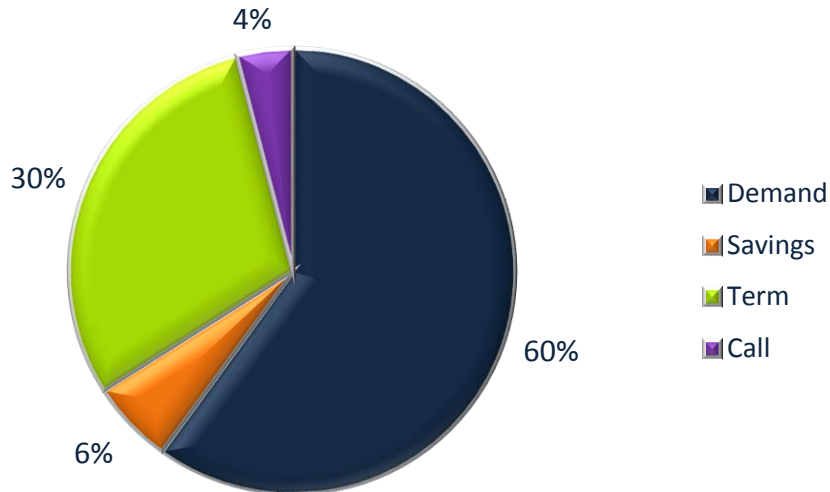
KShs B



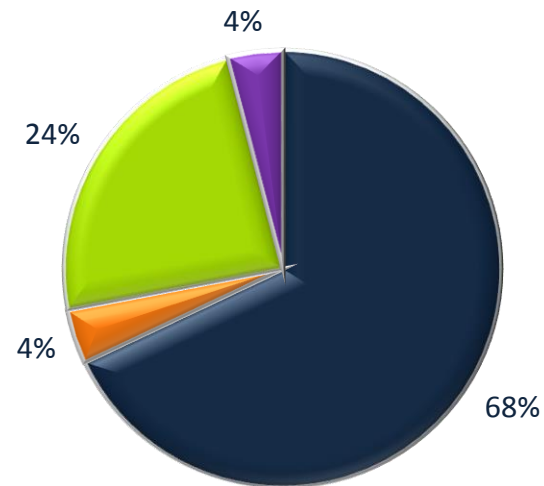
Balanced Deposit Mix



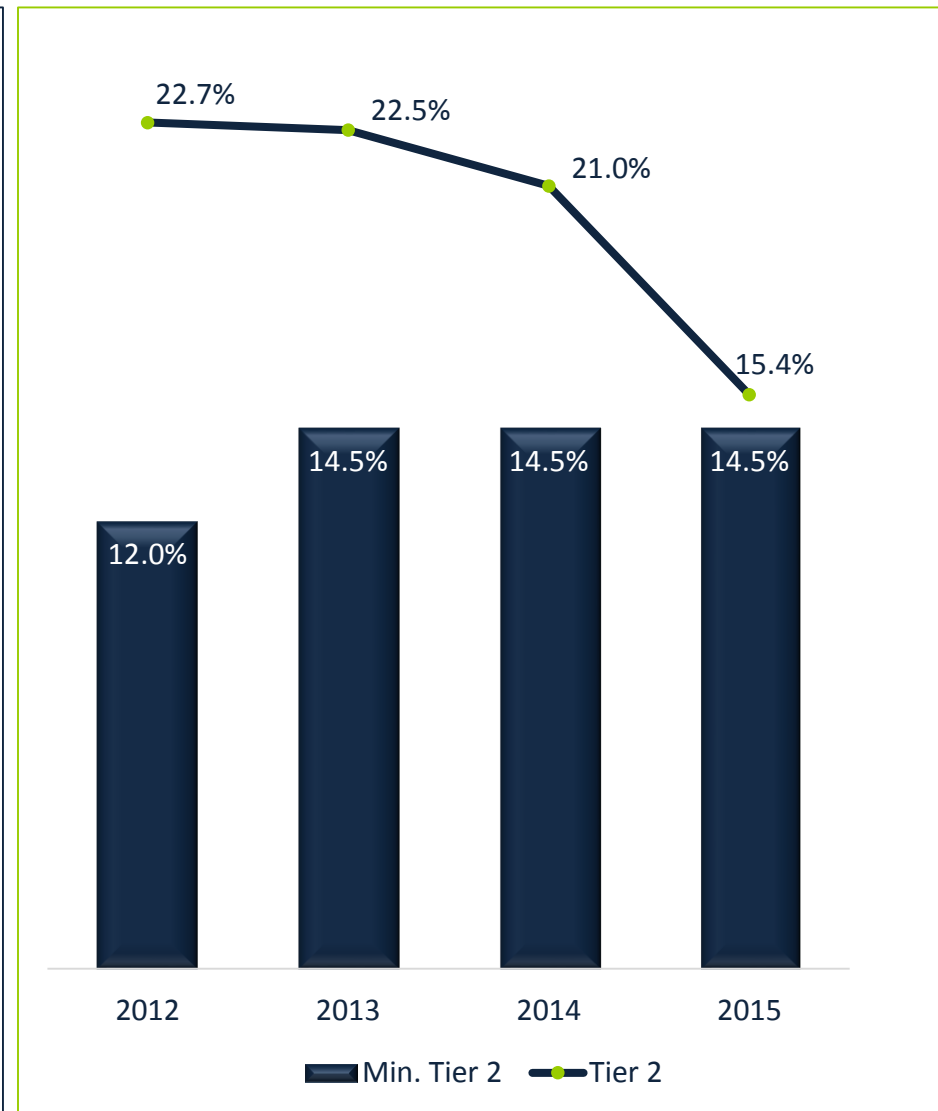
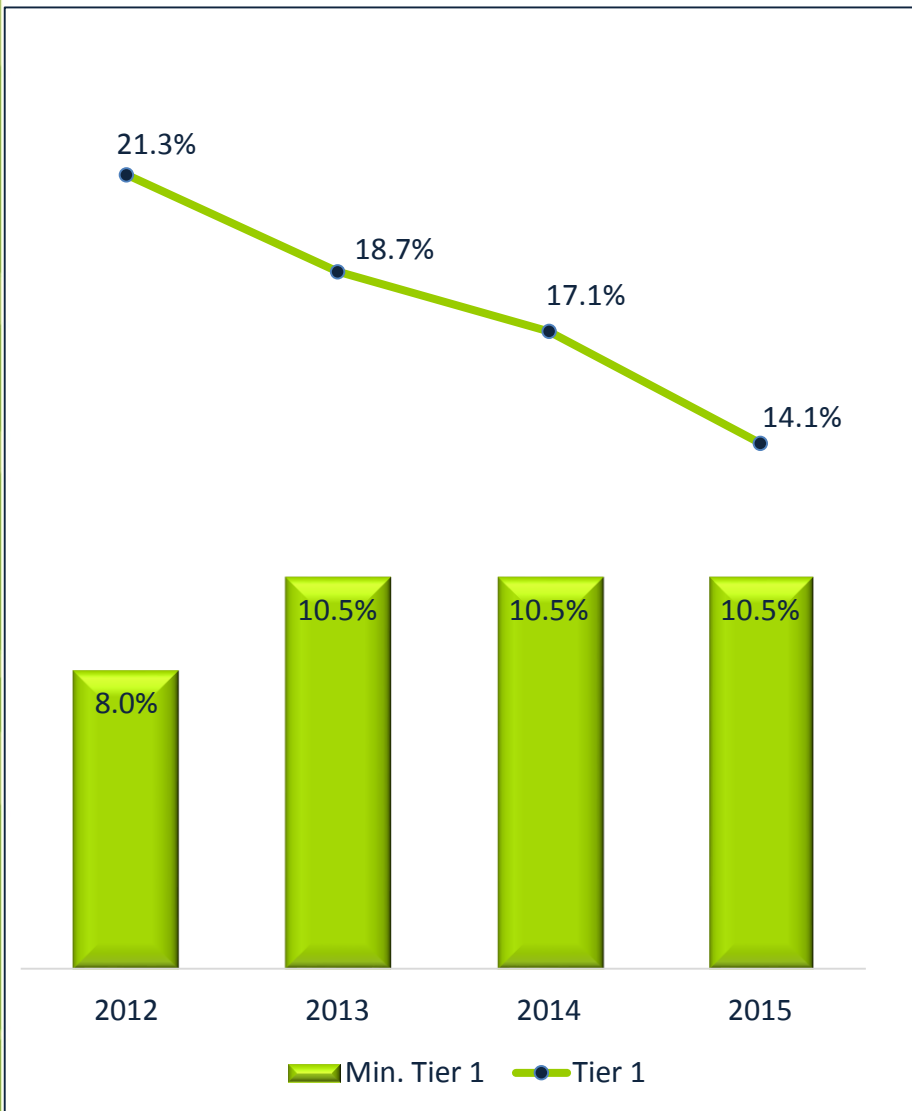
Deposits by Type 2015



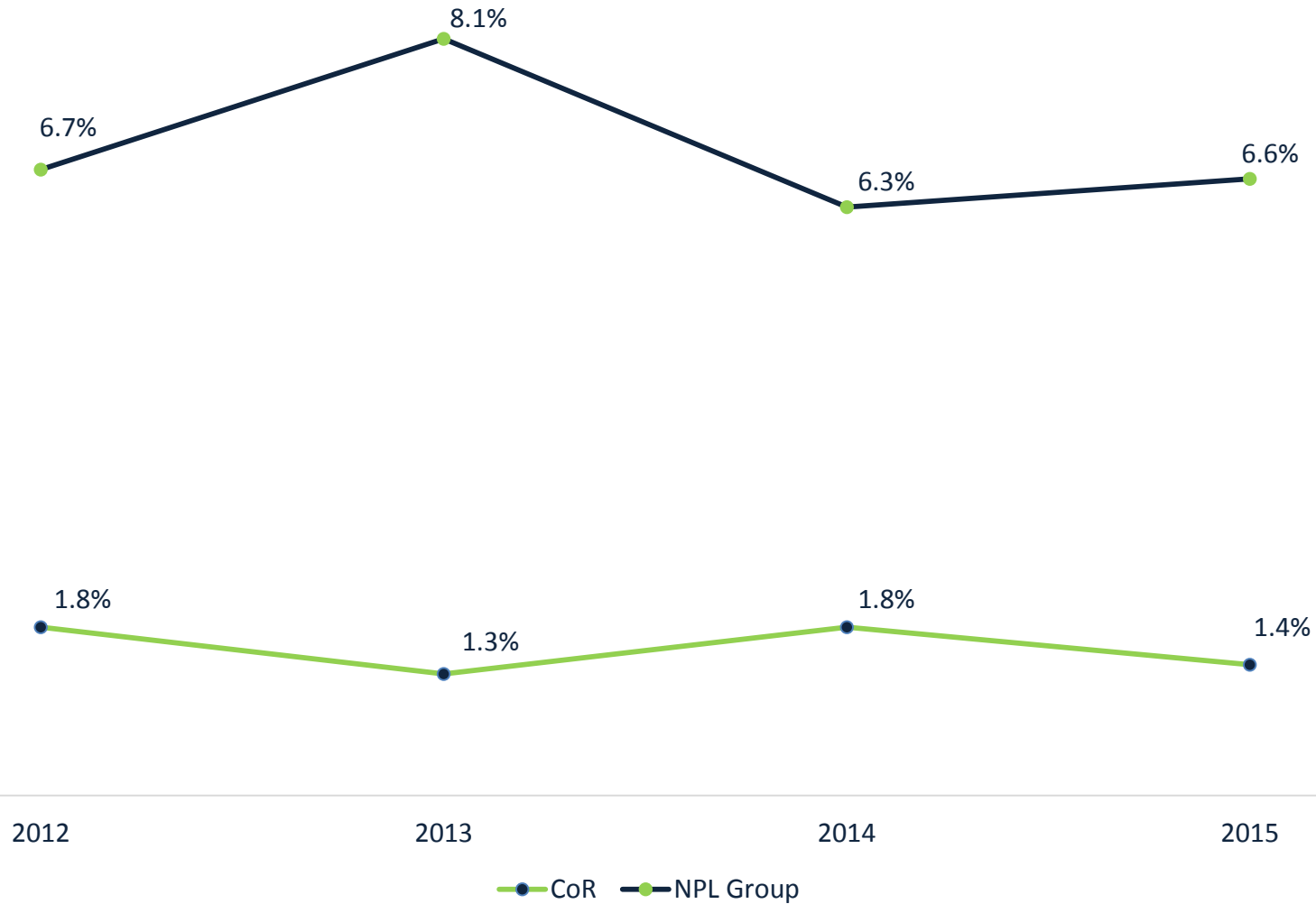
Deposits by Type 2014



Efficiently Utilized Capital for Business Growth



Marginal Change in Asset Quality

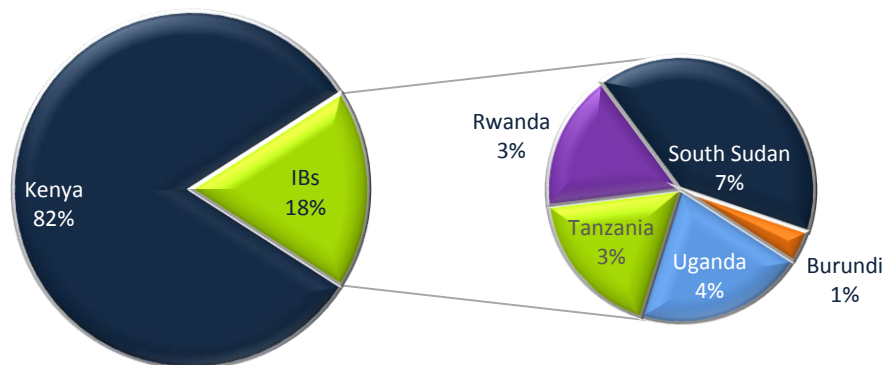


Stable Coverage Position of 80%

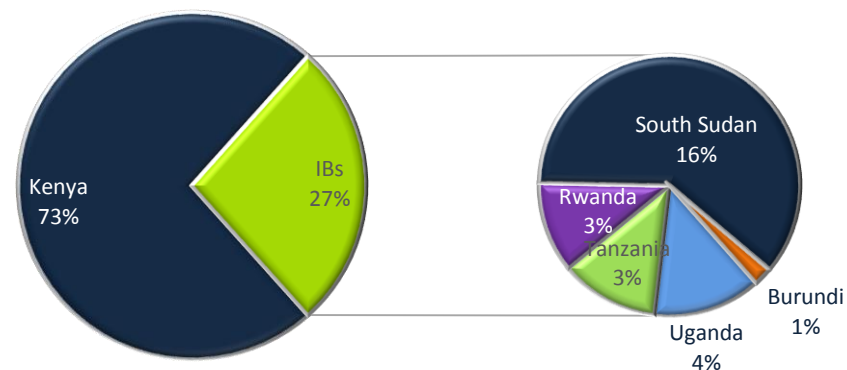


18% Balance Sheet contribution from our Subsidiaries

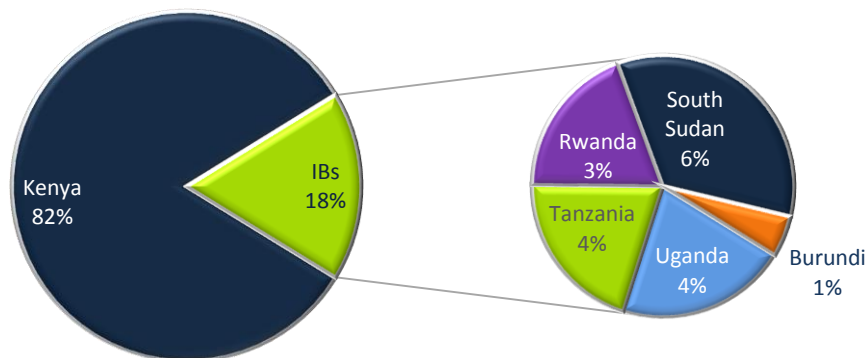
Deposits 2015



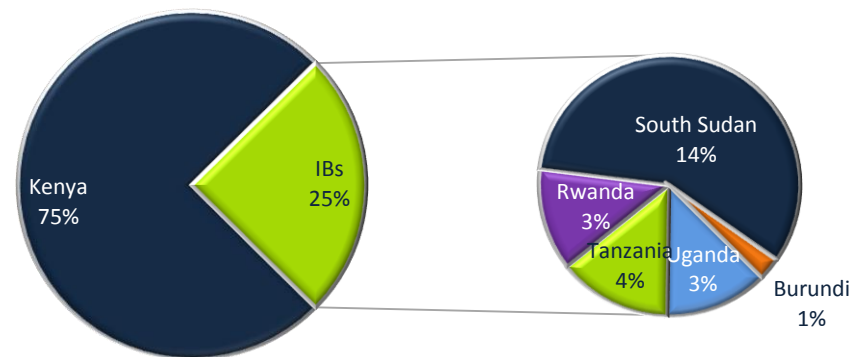
Deposits 2014



Total Assets 2015

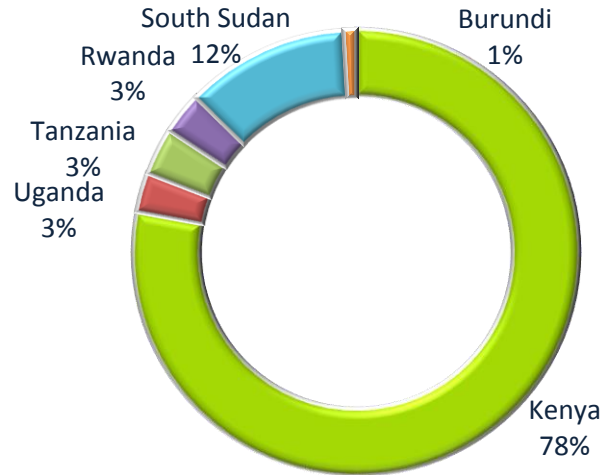


Total Assets 2014

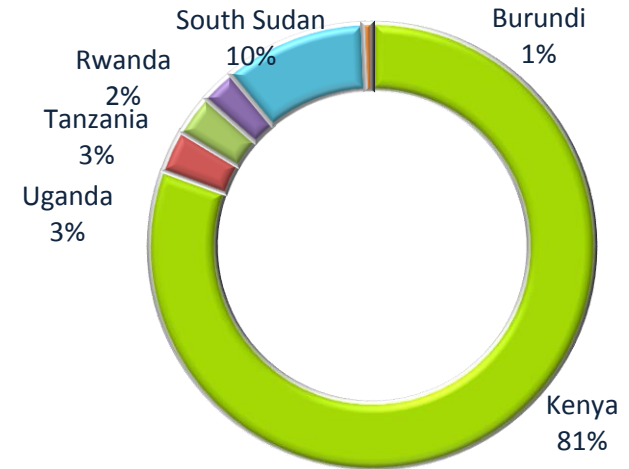


Increase of KShs 1.2B in Earnings from our International Subsidiaries

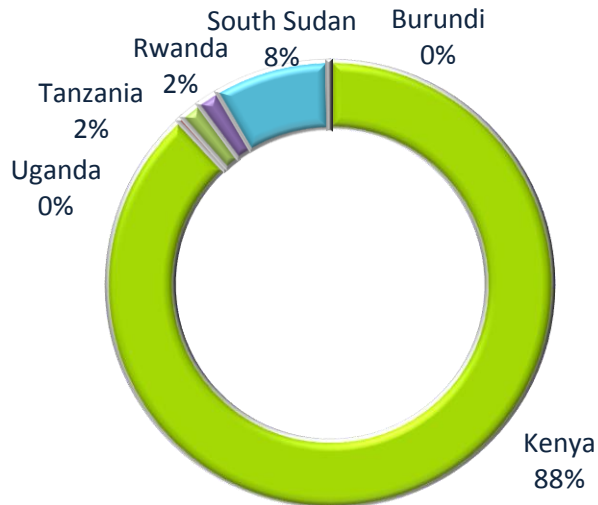
Revenue 2015



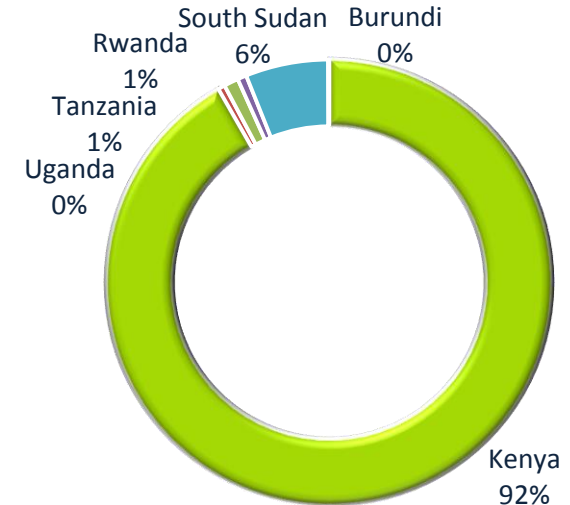
Revenue 2014



Profitability 2015



Profitability 2014



Strong Asset Portfolio driven by Loan Growth

KShs Millions	Actual Dec-15	Actual Dec-14	% Y-O-Y Change
Asset Portfolio			
Cash and balances with Central Bank	35,927	47,064	-24%
Balances with other institutions	52,579	37,572	40%
Investments in Government securities	96,949	97,198	0%
Net loans and advances	345,969	283,732	22%
Fixed assets	10,592	10,351	2%
Other assets	16,078	14,420	12%
Total Assets	558,094	490,338	14%

Robust Funding Portfolio supported by Deposit Growth

KShs Millions	Actual Dec -15	Actual Dec-14	% Y-O-Y Change
Funding Portfolio			
Customer Deposits	424,391	377,272	12%
Balances due to other banks	23,138	14,296	62%
Other liabilities	9,182	10,404	-12%
Long-term debt	20,130	12,735	58%
Total Liabilities	476,841	414,707	15%
Share capital	3,025	3,025	0%
Reserves and premium	72,178	66,556	8%
Proposed dividend	6,050	6,050	0%
Shareholders' Equity	81,254	75,631	7%
Total Liabilities and Equity	558,094	490,338	14%

16% Growth in Profit After Tax

KShs Millions	ACTUAL Dec -15	ACTUAL Dec -14	Y-o-Y % Change
Interest Income	56,384	47,476	19%
Interest Expense	(17,148)	(11,527)	49%
Net interest income	39,236	35,949	9%
Foreign exchange income	4,067	4,150	-2%
Fees and commissions	13,103	11,943	10%
Other income	2,621	3,141	-17%
Total operating income	59,027	55,183	7%
Loan loss provision(net)	2,182	3,089	-30%
Staff costs	15,311	13,993	9%
Other operating expenses	14,996	14,314	5%
Total Cost	32,489	31,396	4%
Profit before tax	26,538	23,787	12%
Tax	(6,915)	(6,939)	0%
Profit after tax	19,623	16,849	16%

Overview of Key Financial Ratios

FY14	6M15	9M15		FY15
24.2%	24.0%	23.3%	Return on Average Equity	25.0%
50.2%	48.6%	49.1%	Cost to Income	50.1%
6.3%	7.3%	6.9%	Gross NPL to Gross Loans	6.6%
65.2%	71.8%	80.0%	NPL Coverage	79.5%
16.8%	28.8%	27.5%	Debt to Equity	24.8%
38%	36.7%	37.9%	Non funded income to total income	37.3%
3.2%	2.9%	3.3%	Cost of funds	3.9%
9.7%	8.5%	8.0%	Net Interest Margin	8.8%
1.8%	1.7%	1.6%	Cost of risk	1.4%
75%	72%	74%	Loan to Deposit Ratio	83.8%
25%	32%	32%	Growth of Net Loans and Advances	22%
23%	26%	35%	Growth of Customer Deposits	12%

Business Drivers

ENHANCED CUSTOMER EXPERIENCE

- Growing customer and employee satisfaction to 85%
- Embed the KCB Values

GROWING NFI

- Enhance customer relevance and value proposition
- Driving channel utilization
- Increasing cross sell ratio

HARNESSING OPERATIONAL EFFICIENCIES

- Technology upgrades - T24 R14 Reimplementation and Starting the Journey to a Service Oriented Architecture
- Cost containment measures across the Group

DEVELOP NEW & INTERNATIONAL BUSINESSES

- Drive the Business Performance and sustainability of the International Businesses
- Leverage the potential for consolidation in banking sector

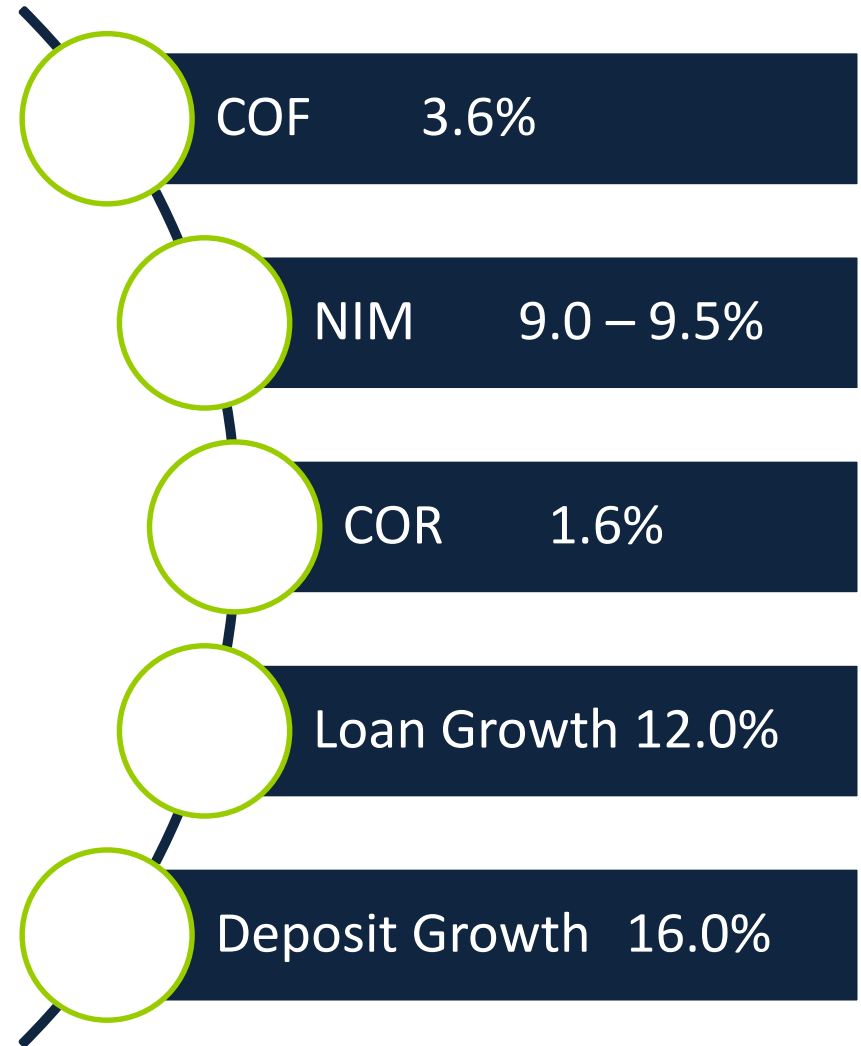
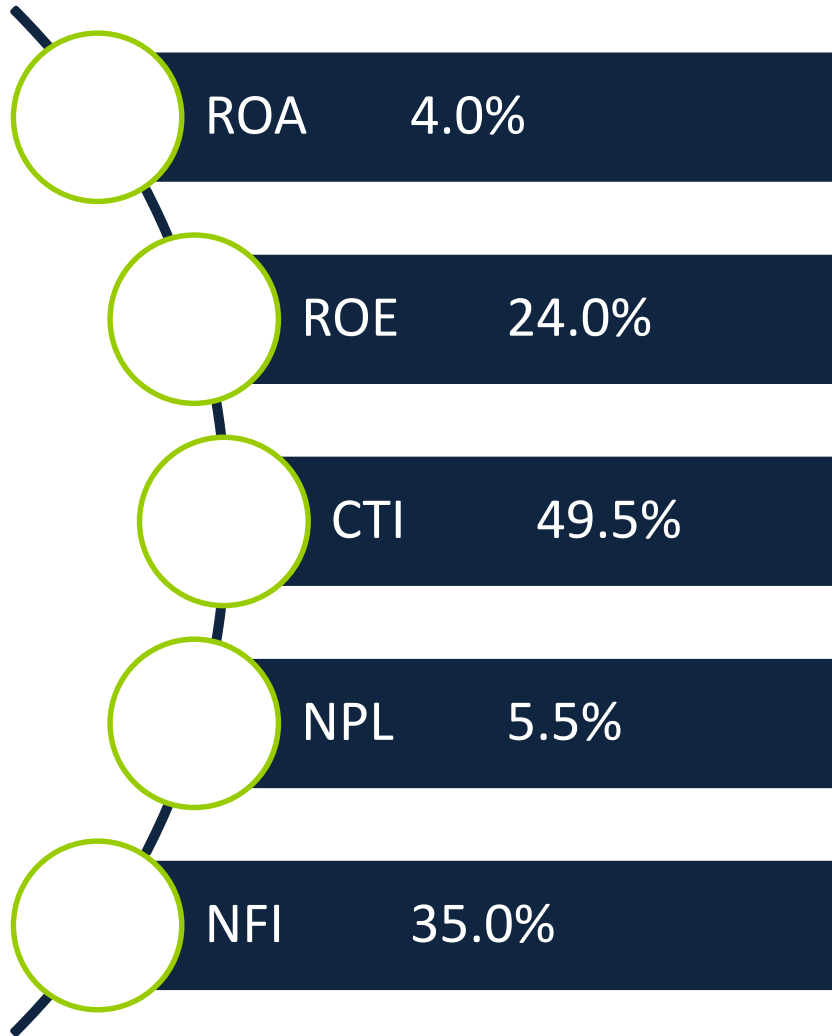
TARGETED DEPOSIT MOBILIZATION

- Private Sector focus
- Deposit mix of 75:25 LCY:FCY

STRATEGIC PARTNERSHIPS

- Continued growth in the business potential with Safaricom
- Leverage on National and County Government Business

Outlook Ratios





For further information please contact

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www.kcbbankgroup.com